

Japan IT Services: NC company results read-across (2) Financial SI: Simplex, NSD, DTS

In this report, we consider the potential implications for our IT services sector coverage from visits we made to three Not Covered companies (we have no investment views on these companies): **Simplex Holdings (consulting/financial SI), NSD (financial/megabank SI), and DTS (financial/megabank SI)**. **Simplex Holdings** is seeing stronger-than-expected demand in consulting and for enterprise customers. The company announced FY3/27 operating profit guidance that exceeds its medium-term plan target, and has also raised its order outlook range. Simplex has begun to focus on AI-driven development, and as it is largely engaged in contract-based development, it sees large scope to capture man-hour reductions in its own profits. **NSD** is seeing strong orders, mainly from megabanks, but expects only a slight increase in operating profits in FY3/27 mainly due to increased upfront investment. **DTS** continues to face a challenging earnings environment due to the peaking of a large project for a megabank (a company-specific factor), and guides for only a slight increase in operating profits in FY3/27. **In terms of read-across for our IT services coverage, we think strong consulting demand as well as demand from financial institutions, government agencies, and local governments will act as tailwinds for earnings at Fujitsu (Buy), NEC (Buy), and Nomura Research Institute (Buy), which are strong in these areas.** Below we outline the key points from company commentary. (Income statements shown in [Exhibit 1/Exhibit 2/Exhibit 3/Exhibit 4](#))

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Simplex Holdings (4373.T) (financial SI/consulting)

- **(1) Guidance:** FY3/27 operating profit guidance calls for ¥17.2 bn (+19% yoy), for the seventh consecutive year of double-digit (%) yoy profit growth. Demand for consulting and development/maintenance for enterprise clients is stronger than expected, and the company raised its medium-term plan target (from ¥15.0 bn previously). Although R&D investment in areas such as generative AI and Web3.0 is set to increase sharply (+¥1.9 bn yoy, with the burden weighted toward 1H), it expects continued high growth, with expansion across the board in consulting, financial, and enterprise businesses.
- **(2) Order environment:** 4Q3/26 orders totaled ¥17.6 bn (+19% yoy), for the third consecutive quarter of double-digit (%) growth, with strength in consulting, SI, and operations. In addition to larger consulting projects, Simplex won two large SI projects (one in the services industry and one in the securities industry). The company raised its order outlook range (midpoint up from ¥14.5 bn to ¥18.5

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bn), reflecting the pipeline of large enterprise projects.

- **(3) Consulting business:** 4Q operating profits continued to grow sharply, rising +39% yoy, led by strength in the financial, telecom, public, and payments sectors. Simplex said this was not limited to consulting alone; cross-selling of SI projects has been successful, and synergies with other businesses are increasing. FY3/27 operating profit guidance (midpoint of range) calls for +34% yoy growth. Unlike overseas ops, competition for consultants in Japan remains fierce, but Simplex has been successful in recruiting thanks to its competitive compensation.
- **(4) Generative AI:** In addition to applying it to overall operations, Simplex plans to focus on AI-driven development. The company looks for AI-driven development to start contributing to earnings from FY3/29, and if successful this could enable Simplex to aim for the upper end of its targeted FY3/30 operating profit range (¥25.0–¥30.0 bn). As it is largely engaged in contract-based development, it sees large scope to capture man-hour reductions from AI-driven development in its own profits.
- The company also believes that even if pricing pressure from customers increases in the medium term, it can boost company-wide earnings by reallocating surplus production capacity generated from man-hour reductions to other projects (we share this view for the industry as a whole).

NSD (9759.T) (financial/megabank SI)

- **(1) Guidance:** FY3/27 operating profit guidance calls for ¥19.5 bn (+2% yoy), for only a slight increase in profits. While its view of a continued favorable demand environment is unchanged, the company assumes SG&A expenses will rise sharply this fiscal year (+22%/+¥2.35 bn yoy), mainly due to investment in developing AI solutions, advertising expenses, and costs for office space expansion. NSD said it is uncertain whether it will be able to spend the full amount, but expenses are expected to increase mainly from 2Q.
- **(2) Order environment:** System development orders grew by +17% yoy in 4Q3/26, an acceleration from 3Q (+3% yoy). By industry, orders were strong from the financial, telecom, public, and automotive sectors. In the core financial business, a large project to upgrade the core system of the company's largest megabank customer is in an expansionary phase (the company expects the peak to be in 2H3/28), and inquiries for development projects from trust banks and life insurers are also strong. Overall, the order environment remains favorable.
- **(3) New medium-term plan:** NSD targets operating profits of ¥23.4 bn (+7% CAGR) in FY3/29, the final year of the plan, reflecting continued steady growth. With the plan incorporating a certain amount of M&A activity, the company assumes its operating margin will remain flat versus FY3/27. It expects the favorable demand environment in system development to continue and plans to maintain current hiring levels. As the company has a high ratio of quasi-mandate contracts, which are based on monthly man-hour pricing, it plans to avoid pricing pressure from customers by increasing its upstream business.

DTS (9682.T) (financial/megabank SI)

- **(1) Guidance:** FY3/27 guidance calls for operating profits of ¥17 bn (+3% yoy). The outlook for growth is only modest mainly on the run-off of a large, high-margin project for a megabank (mainly impacting 1H) and an increase in upfront investments, mainly in AI and human resources (SG&A expenses: +13%/+¥1.7 bn yoy).
- **(2) Order environment:** 4Q3/26 orders declined by -4% yoy, for the second consecutive quarter of negative growth. The effect of a fallback in mainly megabank orders continues, leading to lackluster momentum compared with competitors. However, the impact of the reactionary decline in megabank demand has largely run its course, and DTS says orders from the public and telecom sectors are recently showing signs of recovery. In the manufacturing sector, DTS is seeing orders grow for its proprietary mcframe (SCM) solutions, mainly for the automotive industry.
- **(3) Unprofitable projects:** In 4Q3/26, unprofitable projects totaled around ¥0.7 bn, booked across multiple projects (mainly in the technology & solutions business). These were projects for new customers in new fields (such as the cloud), and a lack of expertise was a contributing factor. According to the company, provisions have been made for these projects through to go-live, and the projects are scheduled to finish during 1H3/27.

Exhibit 1: Simplex Holdings (4373.T): Earnings by segment

(mn yen)	CoE				26/3			
Simplex HD (4373)	24/3	25/3	26/3	27/3E	Q1	Q2	Q3	Q4
Order	43,036	49,930	62,072		13,435	15,151	15,892	17,594
yoy	16.4%	16.0%	24.3%		3.2%	33.6%	46.8%	19.4%
Order Backlog	19,063	21,600	24,989		21,570	22,383	23,545	24,989
yoy	13.9%	13.3%	15.7%		2.1%	3.9%	16.9%	15.7%
Sales	40,708	47,394	58,682	70,000	13,464	14,337	14,731	16,150
yoy	16.5%	16.4%	23.8%	19.3%	22.9%	31.3%	20.3%	21.7%
Gross Profit	17,450	19,638	25,623	31,500	5,921	6,271	6,404	7,027
yoy	19.5%	12.5%	30.5%	22.9%	30.2%	52.4%	22.4%	22.3%
% of sales	42.9%	41.4%	43.7%	45.0%	44.0%	43.7%	43.5%	43.5%
SGA	8,567	8,899	11,166	14,300	2,726	2,415	2,619	3,406
yoy	18.1%	3.9%	25.5%	28.1%	-3.8%	13.6%	33.1%	72.9%
% of sales	21.0%	18.8%	19.0%	20.4%	20.2%	16.8%	17.8%	21.1%
Operating Profits	8,850	10,804	14,420	17,200	3,213	3,842	3,761	3,604
yoy	18.8%	22.1%	33.5%	19.3%	97.6%	67.8%	21.6%	-5.1%
% of sales	21.7%	22.8%	24.6%	24.6%	23.9%	26.8%	25.5%	22.3%
<Sales by Segments>								
I Strategy/DX Consulting	4,206	7,510	10,816	14,000	2,285	2,553	2,848	3,130
yoy	93.6%	78.6%	44.0%	29.4%	58.9%	44.6%	40.8%	37.0%
% of sales	10.3%	15.8%	18.4%	20.0%	17.0%	17.8%	19.3%	19.4%
II Financial Solution	28,507	30,877	39,166	43,150	9,355	9,788	9,522	10,502
yoy	5.9%	8.3%	26.8%	10.2%	29.6%	26.5%	21.3%	30.2%
% of sales	70.0%	65.1%	66.7%	61.6%	69.5%	68.3%	64.6%	65.0%
(1) Capital Market	14,330	15,875	18,074	19,750	4,266	4,554	4,423	4,832
yoy	1.4%	10.8%	13.9%	9.3%	14.3%	14.9%	7.4%	19.0%
(2) Financial Retail + Insurance	19,371	18,267	21,092	23,400	5,089	5,234	5,099	5,670
yoy	15.2%	-5.7%	15.5%	10.9%	7.0%	35.0%	9.8%	13.7%
Financial Retail	14,177	15,002	21,092	23,400	5,089	5,234	5,099	5,670
yoy	10.8%	5.8%	40.6%	10.9%	45.9%	38.8%	36.6%	41.4%
II Non-Financial Solution	7,991	9,003	8,696	12,850	1,823	1,996	2,360	2,517
yoy	36.8%	12.7%	-3.4%	47.8%	-20.5%	40.7%	-0.3%	-13.9%
% of sales	19.6%	19.0%	14.8%	18.4%	13.5%	13.9%	16.0%	15.6%
(1) Insurance	5,194	3,265	-	-	-	-	-	-
yoy	29.0%	-37.1%	-	-	-	-	-	-
(2) Enterprise DX	2,797	5,738	8,696	12,850	1,823	1,996	2,360	2,517
yoy	54.2%	105.1%	51.6%	47.8%	78.0%	51.8%	62.2%	29.5%
<Sales and OP by Services>								
I Strategy/DX Consulting								
Order	4,519	7,921	11,608		2,494	2,574	3,410	3,130
yoy	62.6%	75.3%	46.5%		30.8%	47.0%	70.2%	38.6%
Order Backlog	1,206	1,618	2,410		1,826	1,848	2,410	2,410
yoy	35.1%	34.2%	48.9%		9.0%	11.3%	46.8%	48.9%
Sales	4,206	7,510	10,816	14,000	2,285	2,553	2,848	3,130
yoy	93.6%	78.6%	44.0%	29.4%	58.9%	44.6%	40.8%	37.0%
% of sales	10.3%	15.8%	18.4%	20.0%	17.0%	17.8%	19.3%	19.4%
Gross Profit	2,051	3,733	5,236	7,000	1,056	1,207	1,372	1,601
yoy	86.6%	82.0%	40.3%	33.7%	52.6%	38.6%	34.6%	39.1%
% of sales	48.8%	49.7%	48.4%	50.0%	46.2%	47.3%	48.2%	51.2%
II System Integration								
Order	25,055	28,279	35,655		7,664	9,240	8,754	9,997
yoy	13.3%	12.9%	26.1%		-4.6%	50.5%	59.5%	16.0%
Order Backlog	6,538	8,519	10,433		8,454	9,296	9,746	10,433
yoy	10.8%	30.3%	22.5%		3.9%	13.7%	65.4%	44.9%
Sales	24,417	26,320	33,758	41,000	7,733	8,402	8,309	9,314
yoy	12.5%	7.8%	28.3%	21.5%	23.2%	46.2%	21.4%	25.0%
% of sales	60.0%	55.5%	57.5%	58.6%	57.4%	58.6%	56.4%	57.7%
Gross Profit	10,685	10,486	14,531	18,040	3,432	3,751	3,506	3,842
yoy	16.0%	-1.9%	38.6%	24.1%	30.9%	101.1%	21.5%	23.4%
% of sales	43.8%	39.8%	43.0%	44.0%	44.4%	44.6%	42.2%	41.2%
III Operation Service								
Order	13,456	13,677	14,758		3,277	3,334	3,684	4,463
yoy	11.3%	1.6%	7.9%		6.3%	-3.4%	11.8%	16.0%
Order Backlog	11,313	11,451	12,100		11,284	11,234	11,341	12,100
yoy	13.9%	1.2%	5.7%		1.1%	0.4%	2.0%	5.7%
Sales	12,078	13,518	14,093	15,000	3,439	3,381	3,572	3,701
yoy	9.2%	11.9%	4.3%	6.4%	6.2%	-0.8%	6.1%	5.6%
% of sales	29.7%	28.5%	24.0%	21.4%	25.5%	23.6%	24.2%	22.9%
Gross Profit	4,707	5,374	5,840	6,300	1,426	1,312	1,525	1,578
yoy	9.9%	14.2%	8.7%	7.9%	15.9%	-4.7%	15.5%	9.1%
% of sales	39.0%	39.8%	41.4%	42.0%	41.5%	38.8%	42.7%	42.6%

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: NSD (9759.T): Earnings by segment

(mn yen) NSD (9759)	24/3	25/3	26/3	CoE 27/3E	26/3 Q1	Q2	Q3	Q4
Order	101,807	111,467	121,940		28,020	28,721	25,367	30,391
yoy	27.3%	9.5%	9.4%		4.3%	7.5%	6.5%	-10.7%
Order Backlog	24,281	27,956	32,083		28,676	28,092	23,215	32,083
yoy	9.7%	15.1%	14.8%		10.8%	8.7%	4.5%	14.8%
Sales	101,263	107,791	117,813	126,000	27,298	29,307	30,244	30,964
yoy	29.9%	6.4%	9.3%	6.9%	8.0%	9.5%	10.2%	9.4%
Gross Profit	24,961	27,534	29,824	32,600	6,258	7,261	8,351	7,954
yoy	42.2%	10.3%	8.3%	9.3%	1.3%	5.7%	15.4%	9.8%
% of sales	24.6%	25.5%	25.3%	25.9%	22.9%	24.8%	27.6%	25.7%
SGA	9,781	10,684	10,751	13,100	2,700	2,580	2,699	2,772
yoy	94.6%	9.2%	0.6%	21.8%	-6.3%	-2.3%	4.7%	7.4%
% of sales	9.7%	9.9%	9.1%	10.4%	9.9%	8.8%	8.9%	9.0%
Operating Profits	15,180	16,849	19,073	19,500	3,557	4,681	5,652	5,183
yoy	21.2%	11.0%	13.2%	2.2%	7.9%	10.7%	21.3%	11.2%
% of sales	15.0%	15.6%	16.2%	15.5%	13.0%	16.0%	18.7%	16.7%
<Sales and OP by Segments>								
I System Development Business								
Order	87,237	95,583	103,793		23,662	24,373	20,900	34,858
yoy	19.5%	9.6%	8.6%		5.2%	5.9%	2.6%	17.4%
Order Backlog	21,899	25,093	28,781		24,876	24,487	19,961	28,781
yoy	9.7%	14.6%	14.7%		10.0%	6.5%	2.3%	14.7%
Sales	87,036	92,966	100,855	107,600	24,021	24,954	25,643	26,237
yoy	22.9%	6.8%	8.5%	6.7%	9.8%	9.5%	6.8%	8.0%
Operating Profits	14,688	16,791	18,243	19,300	3,962	4,410	5,130	4,741
yoy	19.3%	14.3%	8.6%	5.8%	12.0%	8.1%	8.8%	6.3%
% of sales	16.9%	18.1%	18.1%	17.9%	16.5%	17.7%	20.0%	18.1%
(1) Financial IT								
Sales	30,921	32,487	35,073	37,800	8,358	8,550	8,909	9,256
yoy	25.9%	5.1%	8.0%	7.8%	6.0%	7.0%	7.8%	10.9%
Operating Profits	5,739	6,326	6,774	7,200	1,592	1,612	1,866	1,704
yoy	26.9%	10.2%	7.1%	6.3%	12.4%	3.3%	5.2%	8.1%
% of sales	18.6%	19.5%	19.3%	19.0%	19.0%	18.9%	20.9%	18.4%
(2) Industry IT								
Sales	23,939	25,635	28,286	29,900	6,767	7,103	7,236	7,180
yoy	38.2%	7.1%	10.3%	5.7%	13.6%	12.4%	9.5%	6.4%
Operating Profits	2,931	3,746	4,410	4,600	898	1,074	1,293	1,145
yoy	20.9%	27.8%	17.7%	4.3%	27.7%	20.0%	23.5%	4.0%
% of sales	12.2%	14.6%	15.6%	15.1%	13.3%	15.1%	17.9%	15.9%
(3) Infrastructure IT								
Sales	20,306	22,441	24,200	25,800	5,723	5,991	6,158	6,328
yoy	11.8%	10.5%	7.8%	6.6%	12.2%	9.6%	4.6%	5.7%
Operating Profits	3,963	4,552	4,750	4,900	965	1,123	1,327	1,335
yoy	14.6%	14.9%	4.3%	3.2%	5.3%	6.1%	2.4%	4.1%
% of sales	19.5%	20.3%	19.6%	19.3%	16.9%	18.7%	21.5%	21.1%
(4) IT Infrastructure Construction								
Sales	11,870	12,403	13,296	14,100	3,173	3,310	3,340	3,473
yoy	9.9%	4.5%	7.2%	6.0%	8.1%	10.1%	3.0%	7.9%
Operating Profits	2,055	2,167	2,309	2,600	507	601	644	557
yoy	8.0%	5.5%	6.6%	12.6%	1.2%	6.4%	7.7%	10.7%
% of sales	17.3%	17.5%	17.4%	18.0%	16.0%	18.2%	19.3%	16.0%
II Solution Business								
Order	14,567	15,882	18,145		4,356	4,349	4,467	4,973
yoy	108.2%	9.0%	14.2%		-0.4%	17.2%	29.7%	14.2%
Order Backlog	2,379	2,862	3,300		3,800	3,603	3,252	3,300
yoy	9.7%	20.3%	15.3%		16.9%	26.4%	20.7%	15.3%
Sales	14,555	15,411	17,720	19,000	3,421	4,548	4,822	4,929
yoy	99.3%	5.9%	15.0%	7.2%	-2.4%	10.5%	33.9%	17.7%
Operating Profits	870	772	1,488	1,300	-220	369	724	615
yoy	55.4%	-11.3%	92.7%	-12.6%	N.M.	20.2%	406.3%	51.1%
% of sales	6.0%	5.0%	8.4%	6.8%	-6.4%	8.1%	15.0%	12.5%
Adjustment								
Sales Adjustment	-330	-588	-794	-600	-146	-194	-220	-234
Operating Profits Adjustment	-380	-715	-668	-1,100	-185	-99	-203	-181

Segment changes were made in 4Q3/24 to all segments other than the financial IT segment

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: DTS (9682.T): Earnings by segment

(mn yen)				CoE	26/3			
DTS (9682)	24/3	25/3	26/3	27/3E	Q1	Q2	Q3	Q4
Order	114,470	132,482	134,149		33,758	33,942	28,811	37,638
yoy	4.3%	15.7%	1.3%		9.3%	4.1%	-3.3%	-4.0%
Order Backlog	33,342	39,331	37,807		39,535	39,341	36,896	37,807
yoy	-2.6%	18.0%	-3.9%		15.4%	8.0%	6.0%	-3.9%
Sales	115,727	125,908	135,213	142,000	32,908	34,018	31,409	36,878
yoy	9.0%	8.8%	7.4%	5.0%	13.9%	9.9%	0.8%	5.7%
Gross Profit	24,876	28,370	29,676	31,950	7,217	7,576	7,482	7,401
yoy	19.7%	14.0%	4.6%	7.7%	15.7%	8.6%	5.6%	-8.3%
% of sales	21.5%	22.5%	21.9%	22.5%	21.9%	22.3%	23.8%	20.1%
SGA	12,367	13,880	13,241	14,950	3,467	3,243	3,239	3,292
yoy	36.0%	12.2%	-4.6%	12.9%	6.2%	-7.3%	1.1%	-15.9%
% of sales	10.7%	11.0%	9.8%	10.5%	10.5%	9.5%	10.3%	8.9%
Operating Profits	12,508	14,489	16,434	17,000	3,750	4,333	4,242	4,109
yoy	7.0%	15.8%	13.4%	3.4%	26.0%	24.5%	9.3%	-1.1%
% of sales	10.8%	11.5%	12.2%	12.0%	11.4%	12.7%	13.5%	11.1%
<Sales and OP by Segments>								
Operation and Solutions								
Order	45,040	55,802	52,817		12,388	13,688	11,388	15,353
yoy	9.2%	23.9%	-5.3%		10.3%	-11.5%	-15.0%	-2.2%
Order Backlog	12,732	15,864	15,566		14,533	14,913	13,584	15,566
yoy	16.8%	24.6%	-1.9%		19.1%	2.0%	-6.7%	-1.9%
External Sales	43,663	53,207	52,810	57,000	13,390	13,290	12,778	13,352
yoy	7.5%	21.9%	-0.7%	7.9%	11.8%	-0.3%	-6.0%	-6.6%
% of sales	37.7%	42.3%	39.1%	40.1%	40.7%	39.1%	40.7%	36.2%
Sales	45,144	54,641	54,074		13,806	13,642	13,042	13,584
yoy	7.6%	21.0%	-1.0%		11.2%	-0.2%	-6.5%	-7.0%
Operating Profits	5,331	6,802	7,507	7,600	1,713	1,854	1,919	2,021
yoy	7.4%	27.6%	10.4%	1.2%	13.5%	26.6%	12.8%	-5.0%
% of sales	11.8%	12.4%	13.9%		12.4%	13.6%	14.7%	14.9%
Technology and Solutions								
Order	40,780	44,892	46,229		13,817	9,977	9,675	12,760
yoy	15.9%	10.1%	3.0%		21.5%	7.2%	-5.2%	-8.9%
Order Backlog	11,656	12,820	12,926		15,165	13,451	11,929	12,926
yoy	-4.5%	10.0%	0.8%		27.4%	-2.7%	18.4%	0.8%
External Sales	42,214	42,877	45,998	49,500	11,183	11,593	11,287	11,935
yoy	22.7%	1.6%	7.3%	7.6%	10.8%	8.7%	7.4%	2.9%
% of sales	36.5%	34.1%	34.0%	34.9%	34.0%	34.1%	35.9%	32.4%
Sales	42,287	42,990	46,074		11,223	11,604	11,298	11,949
yoy	22.7%	1.7%	7.2%		11.0%	8.4%	7.2%	2.7%
Operating Profits	4,193	4,583	5,478	5,800	1,236	1,563	1,456	1,223
yoy	20.3%	9.3%	19.5%	5.9%	52.6%	23.6%	8.8%	4.5%
% of sales	9.9%	10.7%	11.9%	0.0%	11.0%	13.5%	12.9%	10.2%
Platform and Services								
Order	28,640	31,788	35,102		7,552	10,276	7,749	9,525
yoy	-13.9%	11.0%	10.4%		-8.7%	31.0%	25.2%	0.4%
Order Backlog	8,953	10,646	9,314		9,836	10,976	11,382	9,314
yoy	-19.5%	18.9%	-12.5%		-3.0%	-0.4%	12.0%	-12.5%
External Sales	29,849	29,823	36,405	35,500	8,334	9,135	7,344	11,592
yoy	-4.0%	-0.1%	22.1%	-2.5%	22.3%	31.1%	4.3%	28.8%
% of sales	25.8%	23.7%	26.9%	25.0%	25.3%	26.9%	23.4%	31.4%
Sales	31,206	30,405	36,827		8,501	9,270	7,395	11,661
yoy	-2.6%	-2.6%	21.1%		23.0%	30.4%	3.8%	25.9%
Operating Profits	2,978	3,092	3,442	3,600	805	912	870	855
yoy	-8.8%	3.8%	11.3%	4.6%	20.3%	24.1%	3.3%	1.1%
% of sales	9.5%	10.2%	9.3%		9.5%	9.8%	11.8%	7.3%
Adjustment								
Sales	-2,909	-2,128	-1,761		-623	-498	-325	-315
Operating Profits	5	11	6		-4	3	-2	9

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: Japan IT services sector: Earnings estimates

(mn yen)													
Company	Results (FY ended March)	25/3	26/3	GSE		CoE	CY25	4-6	7-9	10-12	CY26		
				27/3	28/3	29/3	1-3				1-3	4-6E	
【Mid-sized System Integrators】													
2327 NS Solutions (NSSOL)	Sales	338,301	381,340	416,000	431,000	453,000	417,000	98,007	82,684	95,691	97,020	105,945	95,000
	%y-y	8.9%	12.7%	9.1%	3.6%	5.1%	9.4%	8.3%	7.6%	19.9%	15.9%	8.1%	14.9%
	OP	38,497	44,242	47,500	50,000	54,000	47,500	8,910	8,485	9,787	12,718	13,252	8,500
	%y-y	10.0%	14.9%	7.4%	5.3%	8.0%	7.4%	-23.9%	-3.7%	5.1%	11.0%	48.7%	0.2%
	OP margin	11.4%	11.6%	11.4%	11.6%	11.9%	11.4%	9.1%	10.3%	10.2%	13.1%	12.5%	8.9%
3626 TIS	Sales	571,687	596,479	622,500	642,500	658,500	620,000	155,126	140,316	148,209	147,726	160,228	146,830
	%y-y	4.1%	4.3%	4.4%	3.2%	2.5%	3.9%	7.5%	4.7%	4.7%	4.8%	3.3%	4.6%
	OP	69,047	76,229	81,500	86,000	89,300	81,000	20,163	16,353	19,200	19,250	21,426	17,200
	%y-y	6.9%	10.4%	6.9%	5.5%	3.8%	6.3%	18.7%	16.3%	16.7%	4.8%	6.3%	5.2%
	OP margin	12.1%	12.8%	13.1%	13.4%	13.6%	13.1%	13.0%	11.7%	13.0%	13.0%	13.4%	11.7%
4307 Nomura Research Institute (NRI)	Sales	764,813	814,708	854,200	897,200	941,400	850,000	196,567	195,770	201,295	205,268	212,374	205,900
	%y-y	3.8%	6.5%	4.8%	5.0%	4.9%	4.3%	5.4%	4.1%	6.7%	7.2%	8.0%	5.2%
	OP	134,907	58,273	178,000	198,000	219,000	175,000	32,554	37,246	41,553	39,981	-60,506	41,000
	%y-y	12.0%	-56.8%	205.5%	11.2%	10.6%	200.3%	11.6%	14.1%	26.0%	8.9%	N.M.	10.1%
	OP margin	17.6%	7.2%	20.8%	22.1%	23.3%	20.6%	16.6%	19.0%	20.6%	19.5%	-28.5%	19.9%
4684 Obic	Sales	121,240	135,209	149,000	161,800	174,000	148,700	31,517	32,431	33,353	34,329	35,096	35,860
	%y-y	8.6%	11.5%	10.2%	8.6%	7.5%	10.0%	12.5%	12.7%	9.7%	12.4%	11.4%	10.6%
	OP	78,378	88,823	99,300	108,800	118,000	98,000	19,812	21,479	22,176	22,610	22,558	24,100
	%y-y	10.5%	13.3%	11.8%	9.6%	8.5%	10.3%	13.8%	15.2%	11.0%	13.4%	13.9%	12.2%
	OP margin	64.6%	65.7%	66.6%	67.2%	67.8%	65.9%	62.9%	66.2%	66.5%	65.9%	64.3%	67.2%
4733 Obic Business Consultants (OBC)	Sales	46,984	51,401	57,650	64,300	71,670	57,500	12,220	12,151	12,781	12,946	13,524	13,370
	%y-y	12.0%	9.4%	12.2%	11.5%	11.5%	11.9%	6.1%	8.2%	11.0%	7.7%	10.7%	10.0%
	OP	21,744	23,581	26,800	31,000	35,800	26,500	5,833	5,570	5,590	6,110	6,311	6,200
	%y-y	16.0%	8.4%	13.7%	15.7%	15.5%	12.4%	6.3%	7.5%	13.4%	5.3%	8.2%	11.3%
	OP margin	46.3%	45.9%	46.5%	48.2%	50.0%	46.1%	47.7%	45.8%	43.7%	47.2%	46.7%	46.4%
8056 BIPROGY (ex Nihon Unisys)	Sales	404,010	433,686	484,500	516,200	546,900	470,000	124,745	96,844	108,288	101,712	126,842	107,100
	%y-y	9.2%	7.3%	11.7%	6.5%	5.9%	8.4%	12.1%	9.6%	10.9%	9.1%	1.7%	10.6%
	OP	39,066	42,604	48,400	54,600	60,800	48,400	13,900	8,569	12,781	8,998	12,256	8,800
	%y-y	17.4%	9.1%	13.6%	12.8%	11.4%	13.6%	51.9%	30.3%	12.4%	24.6%	-11.8%	2.7%
	OP margin	9.7%	9.8%	10.0%	10.6%	11.1%	10.3%	11.1%	8.8%	11.8%	8.8%	9.7%	8.2%
【Large System Integrators】													
6501 Hitachi Digital Systems & Services (DSS)	Sales	2,832,584	2,940,000	3,291,900	3,579,000	3,890,100	3,190,000	823,300	617,400	708,800	714,900	898,912	668,650
	%y-y	9.0%	3.8%	12.0%	8.7%	8.7%	8.5%	6.2%	-2.6%	4.5%	2.6%	9.2%	8.3%
	Adjusted OP	374,700	430,000	477,100	524,700	572,900	480,000	124,400	61,800	105,200	116,875	159,200	97,011
	%y-y	20.6%	14.8%	11.0%	10.0%	9.2%	11.6%	19.2%	-16.1%	22.9%	28.6%	28.0%	57.0%
	OP margin	13.2%	14.6%	14.5%	14.7%	14.7%	15.0%	15.1%	10.0%	14.8%	16.3%	17.7%	14.5%
6701 NEC	Sales	3,423,431	3,582,733	3,596,000	3,755,000	3,916,000	3,500,000	1,101,622	715,658	854,121	858,000	1,160,416	740,000
	%y-y	-1.5%	4.7%	0.4%	4.4%	4.3%	-2.3%	1.6%	3.7%	7.3%	2.7%	5.3%	3.4%
	OP	256,497	359,913	419,000	467,000	518,000		130,331	35,389	83,181	66,591	174,752	39,000
	%y-y	36.4%	40.3%	16.4%	11.5%	10.9%		10.3%	679.5%	107.2%	-18.3%	34.1%	10.2%
	OP margin	7.5%	10.0%	11.7%	12.4%	13.2%		11.8%	4.9%	9.7%	7.8%	15.1%	5.3%
	Non-GAAP OP	311,301	397,234	443,000	490,000	540,000	420,000	148,966	39,995	87,494	82,382	187,363	45,000
	%y-y	36.8%	27.6%	11.5%	10.6%	10.2%	5.7%	16.2%	145.4%	80.2%	-15.5%	25.8%	12.5%
	OP margin	9.1%	11.1%	12.3%	13.0%	13.8%	12.0%	13.5%	5.6%	10.2%	9.6%	16.1%	6.1%
6702 Fujitsu	Sales	3,550,116	3,502,971	3,484,000	3,667,000	3,849,000	3,510,000	1,142,134	749,859	816,683	884,642	1,051,787	738,000
	%y-y	2.1%	-1.3%	-0.5%	5.3%	5.0%	0.2%	9.6%	-1.2%	3.0%	3.4%	-7.9%	-1.6%
	OP	265,089	348,329	415,000	483,000	552,000	415,000	159,200	33,486	71,859	105,656	137,328	36,500
	%y-y	77.5%	31.4%	19.1%	16.4%	14.3%	19.1%	37.8%	133.7%	150.7%	68.2%	-13.7%	9.0%
	OP margin	7.5%	9.9%	11.9%	13.2%	14.3%	11.8%	13.9%	4.5%	8.8%	11.9%	13.1%	4.9%
	Adjusted OP	307,265	390,589	425,000	493,000	562,000	425,000	170,184	35,119	86,208	107,836	161,426	39,000
	%y-y	15.8%	27.1%	8.8%	16.0%	14.0%	8.8%	6.9%	111.9%	74.1%	51.9%	-5.1%	11.1%
	OP margin	8.7%	11.2%	12.2%	13.4%	14.6%	12.1%	14.9%	4.7%	10.6%	12.2%	15.3%	5.3%
NTT Data (Global Solution segment in NTT)	Sales	4,638,721	5,004,614	5,206,000	5,451,000	5,682,000	5,190,000	1,230,965	1,104,369	1,256,098	1,283,336	1,360,813	1,166,000
	%y-y	6.2%	7.9%	4.0%	4.7%	4.2%	3.7%	3.3%	-0.7%	11.4%	9.9%	10.5%	5.6%
	OP	323,862	488,211	470,000	530,000	590,000	470,000	87,881	57,786	211,192	115,225	104,008	60,000
	%y-y	4.6%	50.7%	-3.7%	12.8%	11.3%	-3.7%	-21.9%	-1.4%	133.7%	32.5%	18.4%	3.8%
	OP margin	7.0%	9.8%	9.0%	9.7%	10.4%	9.1%	7.1%	5.2%	16.8%	9.0%	7.6%	5.1%
	Gain on sales of DC		129,500	70,000	70,000	70,000	70,000			129,500			
	OP (excl. gain on sales of DC)		358,711	400,000	460,000	520,000	400,000			81,692			
	%y-y		10.8%	11.5%	15.0%	13.0%	11.5%			-9.6%			
	OP margin		7.0%	7.6%	8.3%	9.0%	7.5%			6.5%			
Company	Results (FY ended Dec)	24/12	25/12	GSE		CoE	CY25	4-6	7-9	10-12	CY26		
				26/12	27/12	28/12	1-3				1-3	4-6E	
4704 Trend Micro	Sales	272,638	275,984	300,000	312,500	325,600	301,500	67,501	66,408	68,844	73,231	73,856	72,890
	%y-y	9.6%	1.2%	8.7%	4.2%	4.2%	9.2%	2.4%	-3.2%	1.1%	4.6%	9.4%	9.8%
	OP	48,105	57,777	55,000	58,000	61,200	56,400	15,006	13,466	16,002	13,303	15,558	12,890
	%y-y	47.6%	20.1%	-4.8%	5.5%	5.5%	-2.4%	23.7%	9.4%	8.1%	50.0%	3.7%	-4.3%
	OP margin	17.6%	20.9%	18.3%	18.6%	18.8%	18.7%	22.2%	20.3%	23.2%	18.2%	21.1%	17.7%
4768 Otsuka	Sales	1,107,668	1,322,791	1,348,800	1,391,200	1,451,600	1,311,000	315,541	379,591	310,587	317,072	344,753	376,400
	%y-y	13.3%	19.4%	2.0%	3.1%	4.3%	-0.9%	18.3%	25.3%	23.0%	11.1%	9.3%	-0.8%
	OP	74,360	89,943	88,000	93,000	99,000	90,000	21,175	27,998	17,356	23,414	23,505	27,000
	%y-y	18.1%	21.0%	-2.2%	5.7%	6.5%	0.1%	22.8%	29.6%	30.2%	5.5%	11.0%	-3.6%
	OP margin	6.7%	6.8%	6.5%	6.7%	6.8%	6.9%	6.7%	7.4%	5.6%	7.4%	6.8%	7.2%
Company	Results (FY ended Jun)	24/6	25/6	GSE		CoE	CY25	4-6	7-9	10-12	CY26		
				26/6	27/6	28/6	1-3				1-3	4-6E	
4478 freee	Sales	25,431	33,271	42,260	50,880	60,100	41,930	8,600	9,420	9,744	10,198	10,902	11,417
	%y-y	32.3%	30.8%	27.0%	20.4%	18.1%	26.0%	29.3%	34.4%	32.1%	29.5%	26.8%	21.2%
	OP	-8,387	611	1,040	3,300	6,000		316	-573	272	260	91	417
	%y-y	N.M.	N.M.	70.2%	217.3%	81.8%		N.M.	N.M.	27.2%	-60.3%	-71.1%	N.M.
	OP margin	-33.0%	1.8%	2.5%	6.5%	10.0%		3.7%	-6.1%	2.8%	2.5%	0.8%	3.7%
	Adjusted OP	-7,562	1,885	2,540	5,100	8,100	2,520	659	-230	690	662	445	743
	%y-y	N.M.	N.M.	34.7%	100.8%	58.8%	33.7%	N.M.	N.M.	43.8%	-32.2%	-32.5%	N.M.
	OP margin	-29.7%	5.7%	6.0%	10.0%	13.5%	6.0%	7.7%	-2.4%	7.1%	6.5%	4.1%	6.5%

NEC's non-GAAP operating profits are operating profits plus amortization of intangible fixed assets of acquired companies and one-off gains/expenses such as restructuring costs. Fujitsu's adjusted operating profits are operating profits plus one-off gains/expenses such as restructuring costs. For reference, we have included adjusted operating profits for Hitachi's Digital System & Service business (equivalent to IT services) (Hitachi is covered by our Japan industrial electronics analyst Ryo Harada).

Source: Company data, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Chikai Tanaka, CFA and Yuki Sato, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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